



Performance Food Group

Grocery Wholesaler Analysis

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Analyzing the Environment and Strategies of Performance Food Group and Sysco in the Grocery Wholesaler Industry

Overview: Performance Food Group Co. engages in the market and distribution of food products, operating through the following segments: Foodservice, Vistar, and Convenience (Candy, snack, beverage, and beauty/personal care items.)

Product Portfolio: The company offers a broad range of products including frozen foods, groceries, refrigerated foods, equipment, and supplies, sourced from private and signature brand manufacturers.

Market Segmentation: PFG operates through Performance Foodservice, Vistar, and PFG Customized, each catering to specific market needs and customer segments panning independent restaurants, national chains, vending, concessions, and convenience stores.

Geographic Presence: With a vast network of over 150 distribution centers and 300,000 customer locations, PFG has a significant presence across the United States, serving customers from coast to coast.

Overview: Global leader in selling, marketing, and distributing food products, kitchen equipment, and tabletop items.

Product Portfolio: Sysco offers a broad line of products, including frozen foods, meats, dairy products, fresh produce, canned and dry foods, beverages, and a variety of non-food items like kitchen equipment and utensils.

Market Segmentation: Sysco serves a wide array of customers, from restaurants, hotels, schools, colleges, healthcare and educational facilities, lodging establishments, and other customers who prepare meals away from home.

Geographic Presence: While Sysco is primarily known for its dominant presence in the United States, the company also operates internationally, including in Canada, the United Kingdom, France, and other countries.



Performance Food Group - Technology and R&D

Analysing the environment and strategies of major players in the Grocery Wholesaler Industry

Production Technology: *Performance Food Group*

Technology & Innovation: PFG invests in R&D to cultivate an “arsenal of apps and programs makes it quick and simple to stay on top of your deliveries and orders, pay your bill, and track your truck anywhere.”

- Mobile App Integration/Partnership - Consumers are able to track their truckload shipments, get notifications on recalls, join local groups to interact with other wholesalers and retailers, automated invoice services, loyalty programs, actionable analytics, safety & security, etc.
- Ecommerce Development - PFG created the foundation for “enhanced online ordering system featuring a personalized dashboard, smart search and ordering, robust list management, finance management.”

Performance Food Group - Finances

Analysing the environment and strategies of major players in the Grocery Wholesaler Industry

Financial Performance: *Performance Food Group*

Full-Year Fiscal 2023 Highlights

- Total case volume grew 6%
- Net sales increased 13% to \$57.3 billion
- Gross profit improved 19% to \$6.3 billion
- Net income increased to \$397.2 million
- Adjusted EBITDA increased 34% to \$1.4 billion¹
- Diluted EPS increased to \$2.54
- Adjusted Diluted EPS increased 49% to \$3.88¹
- Cash flow from operating activities of \$832.1 million
- Free cash flow of \$562.4 million

Golden, Scott, "Performance Food Group Company Reports Fourth-Quarter and Full-Year Fiscal 2023 Results." 2023,

<https://investors.pfgc.com/press-releases/press-release-details/2023/Performance-Food-Group-Company-Reports-Fourth-Quarter-and-Full-Year-Fiscal-2023-Results/default.aspx>

Executive Summary

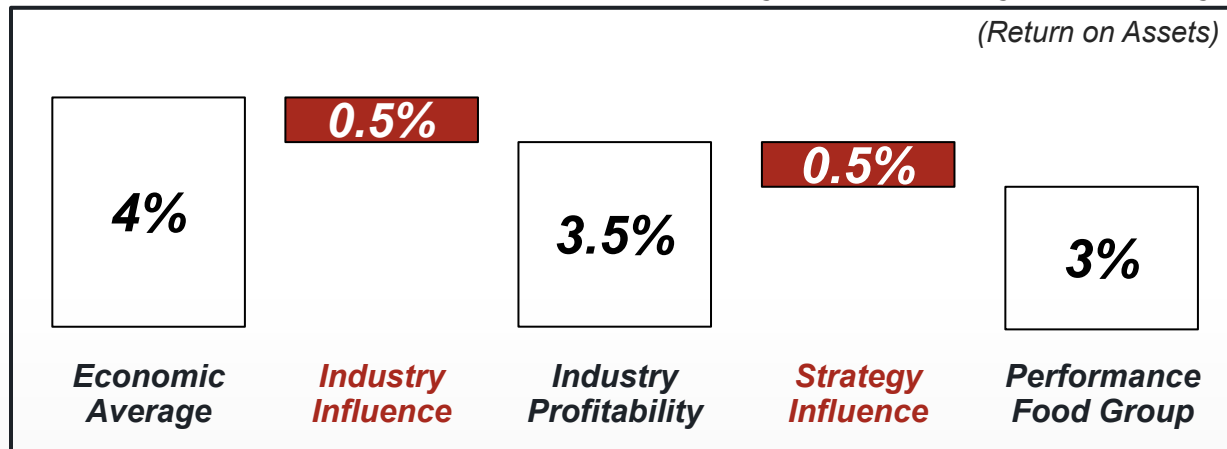
Performance analysis of the grocery wholesale industry and recommendations for Performance Food Group

The **grocery wholesaler industry** is characterized by low margins, economies of scale, strong market forces, and below average profitability.

Performance Food Group focuses on differentiated offerings but trails in operational efficiency. To increase profitability we recommend:

Analysis of Industry Profitability

(Return on Assets)



(IbisWorld, Grocery Wholesaler Industry)

1

Vertically integrate to decrease unit costs

2

Expand global operations to increase revenues

3

Diversify proprietary brand portfolio to increase margins

Return on Assets in the Grocery Wholesale Industry

Defining the industry and comparing profitability of publicly traded companies

The grocery wholesaler industry comprises firms that purchase bulk quantities of grocery products from **producers** and sell them to **retailers and stores** managing distribution and inventory in the supply chain.

- ROA used as a measure of profitability as major players have high investment in PP&E and inventory.
- Industry growth has accelerated from 2015-2019, however still relatively unprofitable.
- Sysco has continually had growing ROA and are a clear leader in the industry.
- PFG underperforms the industry and trails well behind Sysco.

Year	PFG ⁹	Sysco ¹⁰	US Foods ¹¹	Anderson's Inc ¹²	Chefs Warehouse ¹³	Industry Average
2019	3.58%	9.32%	3.41%	0.46%	2.23%	6.50%
2018	4.97%	7.92%	4.43%	1.73%	2.79%	3.70%
2017	2.53%	6.43%	4.92%	1.97%	2.09%	3.59%
2016	1.98%	5.68%	2.35%	0.52%	0.48%	2.20%
2015	1.67%	3.82%	-1.10%	-0.55%	2.77%	1.32%
Average	2.95%	6.63%	2.80%	0.83%	2.07%	3.46%

Five Forces Analysis of Industry Environment

Industry



Grocery Wholesale Industry

Threat of Rivals: **High**

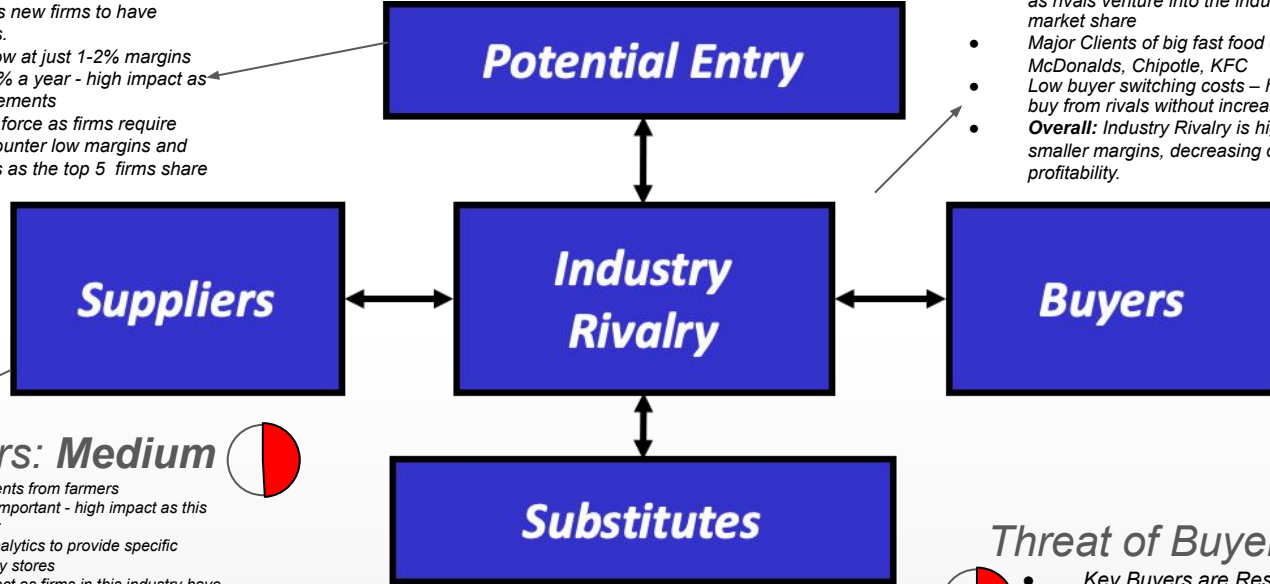


- Sysco is the largest distributor at \$52.9 billion in 2020 with 172 centres in the US - high impact as they hold major market share in the industry.
- Aggressive competitors – high impact of industry profits as rivals venture into the industry to capture more market share
- Major Clients of big fast food chains including McDonalds, Chipotle, KFC
- Low buyer switching costs – high impact as firms can buy from rivals without increasing their cost
- **Overall:** Industry Rivalry is high, causing firms to have smaller margins, decreasing overall industry profitability.



Threat of Entry: **Low**

- Top 5 firms in the market control over 60% market share - high impact as requires new firms to have proprietary product differences.
- Industry profitability is rather low at just 1-2% margins & Industry growth is about 4.6% a year - high impact as it requires major capital requirements
- **Overall:** Threat of entry is low force as firms require high capital requirements to counter low margins and proprietary product differences as the top 5 firms share 60% of market share.



Threat of Suppliers: **Medium**



- Many distributors source ingredients from farmers
- supplier relations are extremely important - high impact as this gives suppliers bargaining power
- Big firms can leverage market analytics to provide specific products to convenience/specialty stores
- Supplier options - moderate impact as firms in this industry have access to different supplier options
- **Overall:** Threat of suppliers is a moderate force as suppliers can have certain bargaining power advantages, but firms have lower switching costs for suppliers.

Threat of Substitutes: **Low/Medium**

- Although some restaurants source their own ingredients, many big chains benefit from distributors
- Big convenience stores already have relations with private labels - low impact as there are high switching costs due to outstanding relationships

Threat of Buyers: **Medium**



- Key Buyers are Restaurants, whom account for 15% of revenues in the industry
- F&B store sales are also extremely important, accounting for \$745 billion in 2022
- Low switching costs – high impact customers can switch to any other vehicle without increasing their costs
- High buyer concentration - high impact as firms in this industry rely on targeted customers,

Overall: The Five Forces model indicates that Return on Assets (ROA) can be further suppressed in a low-margin industry due to the threat of rivals.

Activity Map of Sysco's Cost Leadership Strategy

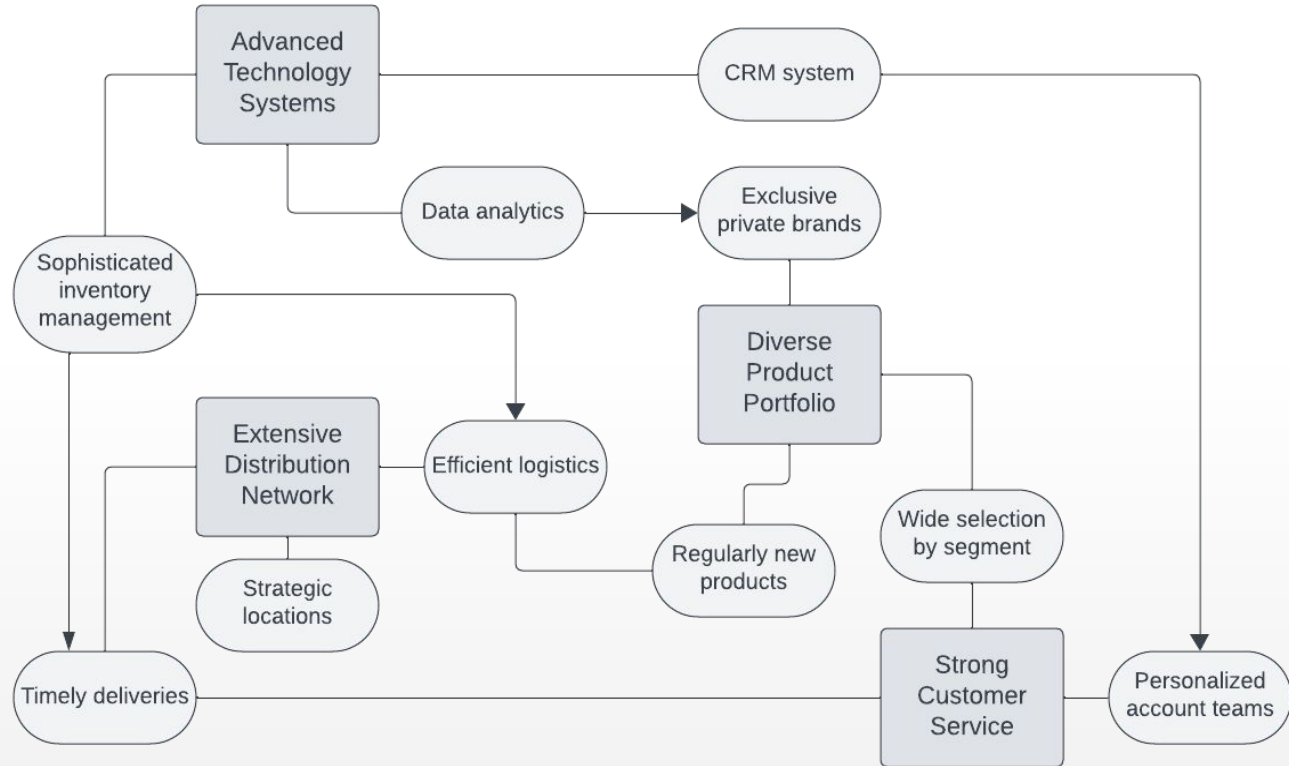
Industry Leader: *Sysco*¹⁴

Advanced technology systems differentiate Sysco through optimized operations and data-driven decision making.

Extensive distribution network enables highly reliable delivery times with international reach.

Diverse product portfolio helps Sysco stand out with broad offerings and in house brands driven by customer insights.

Strong customer service builds brand loyalty with individual account teams offering personalized management.



Activity Map of PFG's Differentiation Strategy

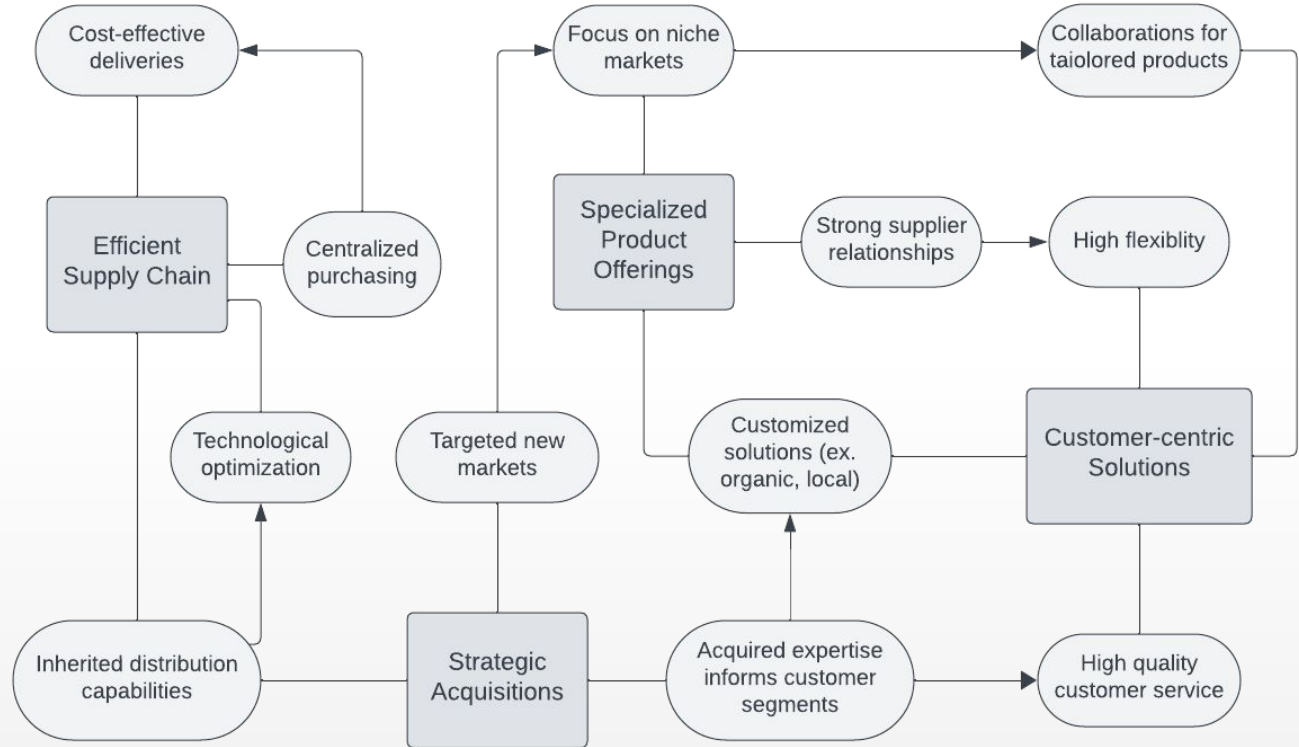
Client Firm: PFG¹⁵

Efficient supply chains allow for cost-effective deliveries from a centralized purchasing location.

Specialized product offerings build niche marketing on strong supplier relationships.

Strategic acquisitions expand distribution/technology capabilities and inform new customer segments.

Customer-centric solutions offer highly flexible customized solutions through customer collaborations for tailored products.



Strategic Positioning of Industry Firms

Analysis of Industry Environment

Sysco (Cost Leadership)

- Dominates by offering a comprehensive range of products, catering to various food service venues across the market.
- Maintains competitive pricing through superior supply chain efficiency and volume-based cost advantages.

Performance Food Group (Differentiation)

- Specialized services and products, such as custom cuts of meat, that appeal to a broad audience and enable a premium pricing strategy.
- Robust product portfolio and innovative food solutions that meet a wide range of customer preferences.

Gordon Food Service (Differentiation)

- Emphasis on customer experience and custom supply chain solutions serving a broad market.
- Invests in unique product offerings and partnerships, establishing its reputation as a differentiated provider of food service solutions.

McLane (Cost Leadership)

- Focuses on small chains and independent stores, optimizing operations to deliver cost-effective supply chain solutions.
- Prioritizes logistical efficiency and tailored services ensuring competitive pricing in its niche market.

KeHE (Differentiation)

- Distributes organic, natural, and specialty food products, meeting the demands of health-conscious consumers and specialty retailers.
- Emphasizes quality and uniqueness in its product selection, fostering a distinct identity in a niche market segment.

**Broad
Market**



**Narrow
Market**



Cost Leadership

Differentiation

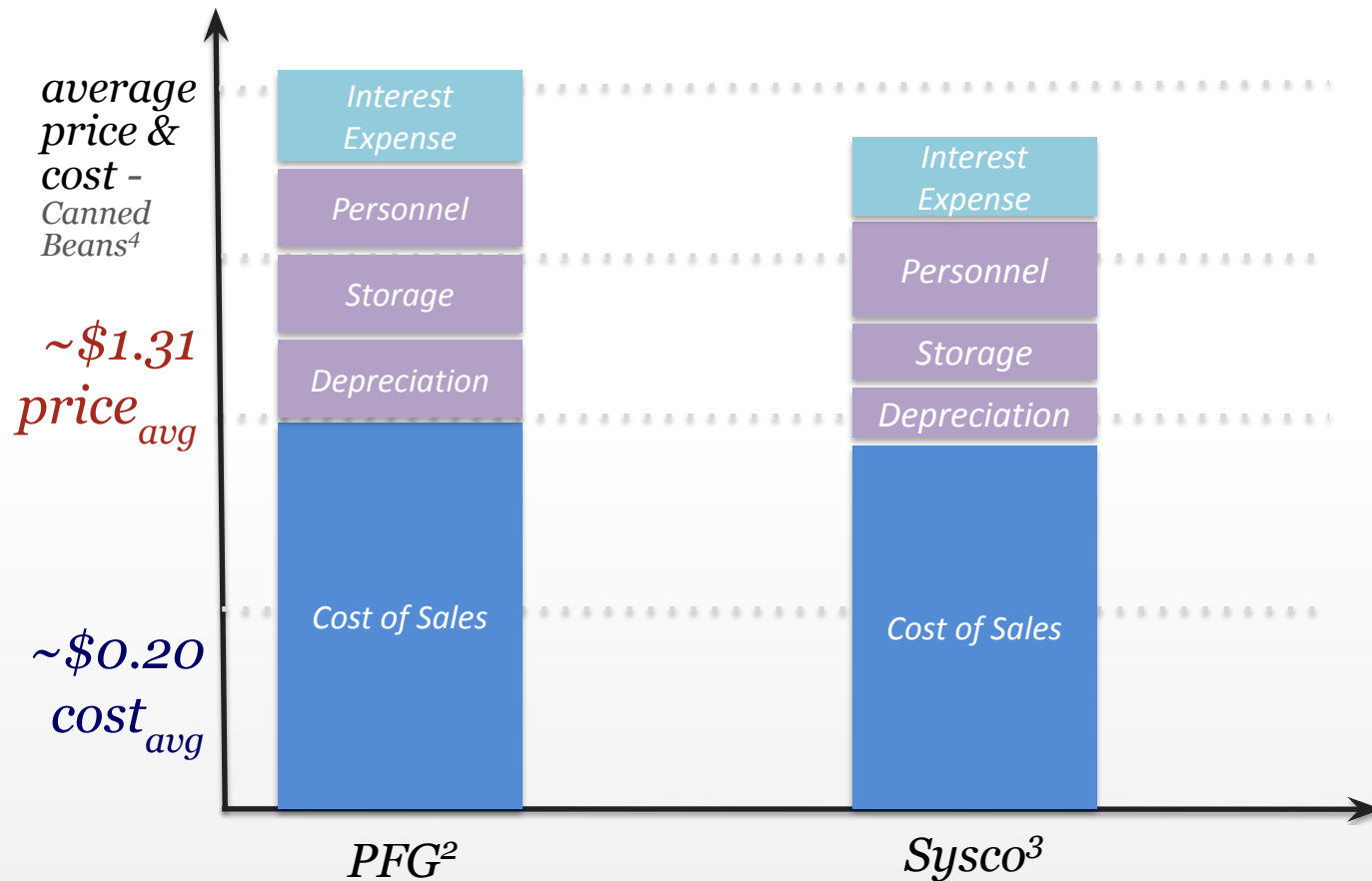


Relative Cost Analysis - PFG vs Sysco

Firms



Grocery Wholesale Industry



Insights

- **Cost of sales** for both companies includes product costs and transportation/freight expenses
- Sysco has higher **personnel** costs as they employ around 72,000 people while PFG employs 22,770
- Sysco has a lower proportion of **operating expenses** in relation to total costs due to economies of scale
- Both limit the amount of **debt** taken out shown in interest expenses
- Based on the principal products table, both attribute 18% or more of sales to **canned goods**

Positioning Comparison - Sysco vs PFG

Key strategic differences and their impacts on costs/willingness to pay



Cost Leader

Advanced technology systems highly optimized logistics costs.

Extensive distribution network enhances economies of scale and decreases costs.

Broad product portfolio enables purchasing across segments increasing willingness to pay and informs private labels decreasing supply costs.

Strong customer service increases customer satisfaction and willingness to pay.



Differentiator

Efficient supply chains lower supply and delivery costs.

Specialized product offerings differentiate inventory and increase willingness to pay.

Strategic acquisitions increase ability to expand into new markets which will increase willingness to pay.

Customer-centric solutions increase customer satisfaction and willingness to pay.

Industry Impact on Compared Firms & Strategies

Why Sysco outperforms the industry while PFG does not

Grocery wholesaler industry displays strong **economies of scale** due to high volume purchases which puts emphasis on **operational efficiency** and **optimized costs** to maintain high margins.

Industry leader Sysco maximizes product value while minimizing delivery costs by investing heavily in an international technology-aided distribution network.

This intense cost optimization creates a competitive advantage that propels profits past rivals and *overperforms* the industry.

Client firm Performance Food Group has a comparatively much smaller network built of strong supplier relationships that provide niche products at higher costs than common goods.

This differentiation does not increase willingness to pay enough to offset higher costs leading to profits *underperforming* the industry.

Scope Decisions and Effect on Corporate Strategy

Horizontal Scope:

Diversification of Product Offerings: PFG offers a wide range of products, including frozen foods, dry groceries, and foodservice equipment, catering to diverse customer needs. This diversification helps mitigate risks associated with demand fluctuations in specific product categories.

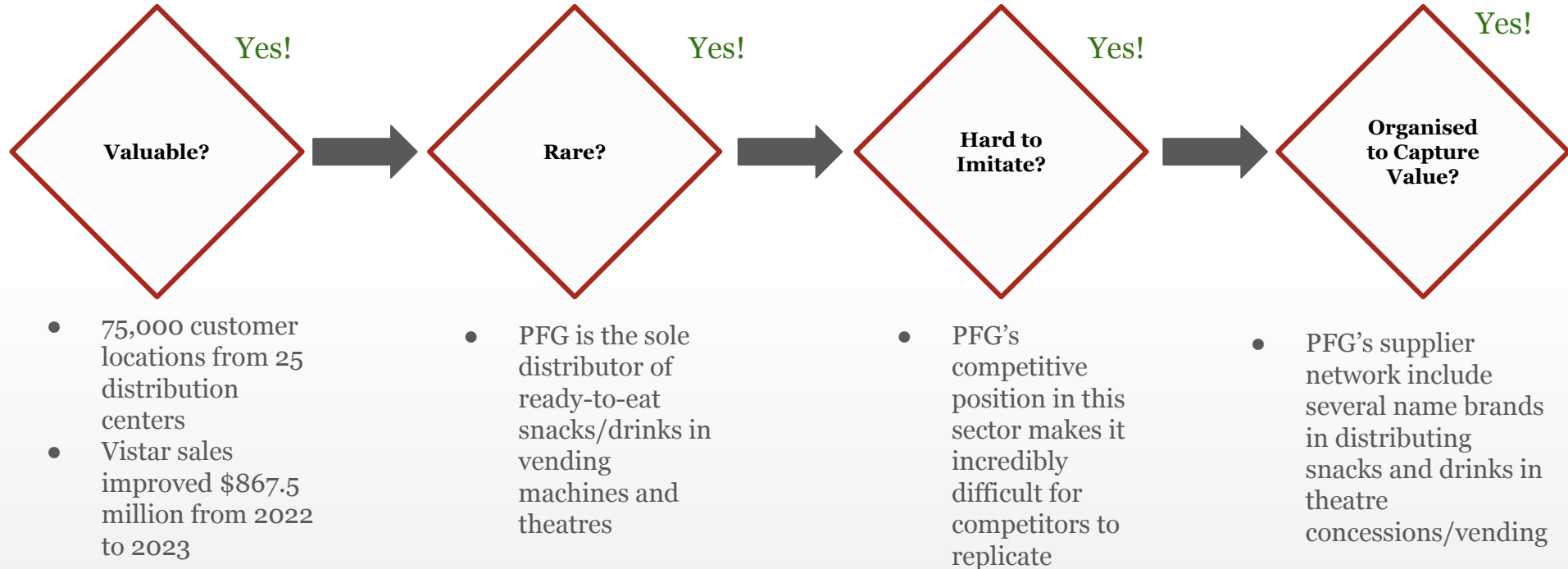
Segmentation: The company operates through multiple segments, including Performance Foodservice, Vistar, and PFG Customized. This segmentation allows PFG to tailor its offerings and services to specific market needs, such as foodservice operations, vending, and convenience retail sectors.

- The Foodservices segment delivers food and food-related products to independent restaurants, chain restaurants, and other institutional food-away-from-home locations
- The Vistar segment offers candy, snack, and beverage to customers in the vending, office coffee services, theater, retail, and other channels.
- The Corporate and All Other segment comprises of the firm's overhead and certain operations that are not considered separate reportable segments based on their size.

Vertical Scope:

Technology Integration: PFG integrates technology across its operations, from supply chain management to customer ordering systems. This integration improves operational efficiency and customer service, aligning with vertical integration principles by enhancing control over its value chain. (Mobile App Integration & E-Commerce Development)

PFG's Vending/Theatre Supplier Relations pass the VRIO Test



Nonmarket Strategy through OITT Analysis

Food Regulations

Opportunities

Favorable Regulations

- *Dissuade legislation* like the Food Safety Modernization Act (FSMA).
- Compliance with such laws could require supply chain overhauls and significantly *increase operations costs*.

Interests

Partnerships

- *Wholesalers* could collaborate to increase bargaining power.
- *Industry groups* with financial interest in keeping existing regulations.

Targets

Lawmakers

- *Legislatures and agencies* like the US Food and Drug Administration (FDA)
- *International entities* like the World Health Organization (WHO)
- *Public opinion* around current food regulations.

Tools

Persuasion

- *Political lobbying* can sway key figures into adopting favorable policies.
- *Educating* stakeholders about the efficacy of existing practices.
- Marketing campaigns can improve the public perception of current regulations.

Global Strategies to Enter Emerging Markets



Adaptation

- PFG shows adaptation through the **segmentation** of their services being offered.
- In the **USA**, PFG offers everything from Foodservice, Vistar, and Convenience.
- PFG alters their offerings after **expanding** into Canada by only offering their convenience services.
 - The **convenience** category includes items typical of drug stores and beauty products.



Aggregation

- **Standardised** Group of Products that go to convenience stores and standardised ingredients that go into the foodservice industry, the 2 biggest sectors for PFG.
- Foodservice has 78 **distribution** facilities for 175,000 different locations.
- PFG benefits from **Economies of Scale** and **Economies of Scope**.



Arbitrage inapplicable to PSG due to lacking operational efficiency impeding the exploitation of inefficiencies in global markets.

Strategic Technology Assets & their Profit Impact

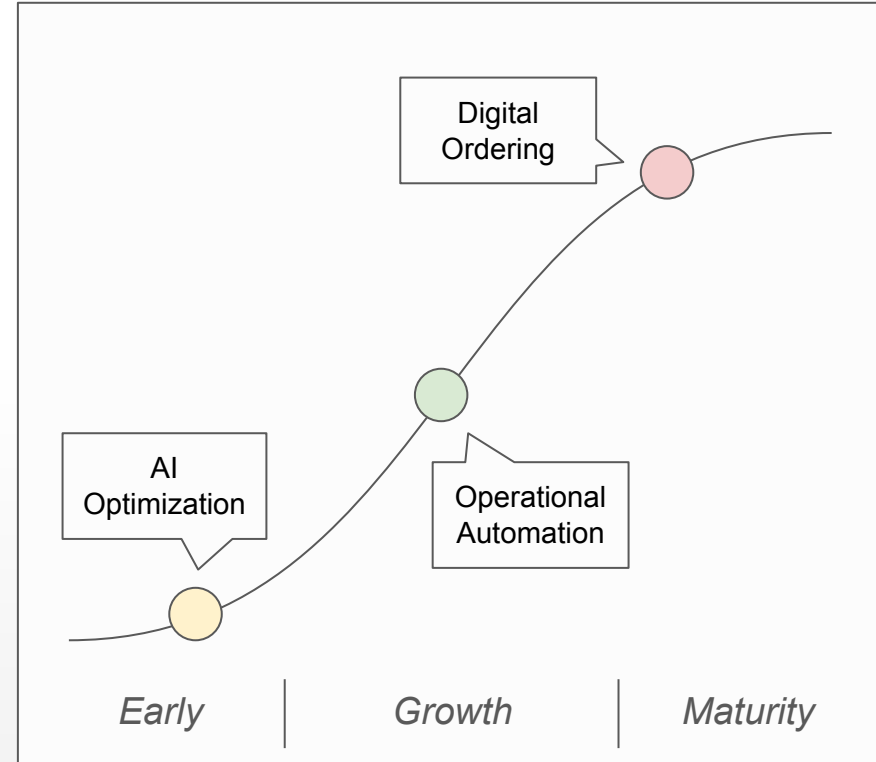
Tech Developments

- **Automation and robotics** in warehouses has improved sorting, packing, and transportation reducing labor costs and increasing efficiency.
- **Advanced inventory management systems**, such as RFID and IoT, sensors help in real-time tracking of inventory levels, reducing overstocks or stockouts, and ensuring fresh produce is efficiently managed.

Complementary Assets

- **Logistics infrastructure** efficient logistics networks are crucial to capitalize on automation and inventory management technologies.
- **Partnership networks** and collaborations with technology providers, retailers, and transport companies enhance technological integration.

Assets that improve **operational efficiency** are critical to capture profits due to the **low margins** in the industry.



CSR Initiatives

CSR Issue: sustainable sourcing and minimizing its environmental impact.

Alignment: PFG's CSR Initiatives Align more with Freeman's stakeholder theory that businesses should create value for all stakeholders, not just shareholders.

- Bottom Line: Impact Innovate Inspire
- Supply Chain Standards: Set supply chain standards for all suppliers regarding animal welfare and sustainability efforts
- Responding to Disasters: PFG partners with Red Cross to assist in disaster relief in local communities.
- Promoting Healthier Products: Create a food program to carry healthier foods to consumers
- Truckers Against Trafficking: Educate drivers on human rights abuses, and provide them with training and support to identify and report suspicious activity.

<https://www.pfgc.com/Corporate-Responsibility>

PFG's Technology Lacks in a Low Margin Industry

Issue Identification

Reliance on Third-Party Suppliers: PFGC's dependence on external suppliers for its product range could pose risks in the event of supply chain disruptions. This reliance makes the company vulnerable to supplier-related issues, such as price volatility and availability, which could impact PFGC's ability to meet customer demands consistently.

Low Margin Industry: Operating in a low margin industry, PFGC faces the challenge of maintaining profitability amidst intense competition. The volatility of results due to cost inflation, deflation, and other factors requires PFGC to continuously optimize its cost structure to sustain its financial health.

Labor and Technology Risks: The company's need for qualified labor and reliance on technology for operations exposes it to risks associated with labor shortages and potential cybersecurity incidents. These factors could lead to increased operational costs and disruptions, affecting PFGC's efficiency and profitability.

<https://finance.yahoo.com/news/decoding-performance-food-group-co-053403375.html>

Recommendation 1: Vertically integrate to decrease costs, increase bargaining power, and enable future investments

Performance Food Group can increase market share within the grocery wholesale industry through backwards integration

1) Acquisition of farms

- a) Allows for more stable pricing and expenses regarding suppliers

2) Exclusive Partnerships and Agreements with Suppliers and Farms

- a) Without the capital needed to purchase a supplier, allows for relatively fixed pricing

3) Investment in Further Private Label Packaging

- a) Gives PFG more control over the operations and chain of their products while further establishing their brand image
- Sysco has been successful in their acquisition of the distributor, **Coastal Companies** as well as adding a suite of private label products within their many offerings.

Recommendation 2: There is significant opportunity to scale ROA for Performance Food Group by expanding global revenue streams

Geographical Expansion: PFG should compete with Syco in foreign markets and explore diversified markets with higher growth potential and less saturation to mitigate the risks associated with intense competition in existing markets.

	2001	2002	2003	% Change 01-02	% Change 02-03
Sales	\$21,784,497	\$23,350,504	\$26,140,337	7%	12%
Net Earnings	\$596,909	\$679,787	\$778,288	14%	14%
ROA %	4.44%	4.71%	4.82%	6.08%	2.34%

Figure: Sysco financial statement '01-03 after preliminary expansion into Canada

Recommendation 3: Scale ROA for Performance Food Group by diversifying and expanding their proprietary product portfolio

Proprietary Product Differences: Expand the product portfolio to higher-margin items or invest in value-added services that can differentiate PFG from competitors and attract a broader customer base.

Current product portfolio operates in a heavily low margin market

- Acquisition of convenience stores expanded PFG's geographic reach and market diversification into the growing convenience store channel, adding approximately \$17 billion to net sales, resulting in total PFG pro-forma LTM net sales of approximately \$44 billion
- Enhances attractive customer base and product offerings, building upon the company's current foodservice focus within the convenience channel
- Has grown ROA 3.03% since acquisition

Date	TTM Net Income	Total Assets	Return on Assets
2023-12-31	\$0.43B	\$12.91B	3.40%
2022-12-31	\$0.27B	\$12.19B	2.18%
2021-12-31	\$0.04B	\$11.96B	0.37%

Implementation Roadmap



Strategic Acquisition

Acquisitions of farms and exclusive partnerships with suppliers to achieve **backwards integration**. Goal is to invest in the short term to save in the future on operating expenses and work towards economies of scale.



Geographic Expansion

Establishing PFG's presence internationally through the adaptation of its current distribution network. Main challenge is for PFG to adapt its current logistics network to accommodate new markets.



Product Diversification

Pursue the development of private label products to increase the control PFG has over R&D and product specifications. Allows PFG to capture more value within the value chain.



Operational Adjustments

Analyze the progress and difficulties using operational and organizational adjustments. **Iterate** based on the trade-offs proven to be most successful in the implementation on these recommendations

Impact on Industry and Rival Profits

How industry firms will react to PFG's changes



Industry

Industry average profits **decrease** as PFG consolidates suppliers through vertical integration and gain bargaining power.



Rivals

Rival's average profits are **maintained** as large-scale competitors already have vertical integration and global operations.

Firms in the industry will:

- Move to further vertically integrate suppliers.
- See expansion as aggressive and respond with acquisitions or entry into new markets.
- Invest in more proprietary brands and begin selling those that PFG drops.

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